

Shiv Shankar v. U.P. Power Corporation

High Court of Judicature at Allahabad · Division Bench · 9 May 2017 · Writ-C No. 20054 of 2017 · Writ-C No. 20054 of 2017 · **Writ allowed; recovery certificate quashed; provisional assessment directed.**

HEADNOTE

A recovery certificate for alleged theft of electricity cannot stand where the licensee has made no provisional assessment under Section 126 of the Electricity Act, 2003 and has not given the consumer the mandatory hearing under Clause 6.8(1)(b) of the U.P. Electricity Supply Code, 2005. The High Court quashed the recovery and directed a served provisional assessment, consideration of objections, and a reasoned final order in the light of Ashok Kumar.

FACTUAL SUMMARY

On a surprise inspection of the petitioner's premises on 20 March 2014, the distribution licensee found electricity being used for commercial purposes on a residential connection and determined Rs 2,85,824 towards theft. Respondent no. 3 issued a recovery certificate for Rs 2,60,854. Invoking Article 226, the petitioner sought to quash that certificate, contending that no provisional assessment under Section 126 of the Electricity Act, 2003 had been drawn, so he could not file objections. The licensee defended the recovery on the inspection and theft determination.

REUSABLE CONSTRUCTIONS

1. Recovery of alleged theft or unauthorised-use dues is unsustainable if no provisional assessment under Section 126 of the Electricity Act, 2003 is on record. ¶ 1
2. Opportunity of hearing under Clause 6.8(b) of the U.P. Electricity Supply Code, 2005 is mandatory before recovery in a theft/UUE assessment; its denial vitiates the recovery. ¶ 1
3. After a recovery is quashed for want of Section 126 procedure, the licensee must prepare and serve a provisional assessment and pass a reasoned final order after considering objections. ¶ 1

HOLDING-UNITS

INTERPLAY · EA2003::126

provisional assessment before recovery

HOLDING

Where nothing on record shows a provisional assessment under Section 126, a recovery certificate for alleged theft of electricity cannot be sustained. The licensee must prepare a provisional assessment, serve it on the consumer, and make a final assessment only after considering objections, giving reasons that meet those objections, in the light of Ashok Kumar v. State of U.P., 2008 (6) ADJ 660 (DB) paras 56–64 (Supply Code procedure for theft assessment). ¶ 1

HOLDING-UNIT · UP-2005::6.8(b)

mandatory hearing before UUE/theft recovery

HOLDING

Recovery of electric dues for alleged theft cannot be sustained where the consumer was not afforded the opportunity of hearing mandatorily warranted under Clause 6.8(1)(b) of the U.P. Electricity Supply Code, 2005. ¶ 1

FLAG Order cites 'Clause 6.8 (1)(b)'; catalog key used is UP-2005::6.8(b). Numbering not silently corrected.

PRINCIPLE TAGS

s126-procedural-strictness-notice-and-hearing Division Bench quashed a theft-labelled recovery because no Section 126 provisional assessment was on record and no hearing had been given, and sent the matter back for a served provisional

assessment and reasoned final order. Lead authorities: *Ashok Kumar v. State of U.P.* [2008 (6) ADJ 660]. ¶ 1

clause-6.8-hearing-procedure-mandatory-before-uue-conclusion The Court treated Clause 6.8(1)(b) hearing as mandatory even though the department had characterised the case as theft of electricity. Lead authorities: *Ashok Kumar v. State of U.P.* [2008 (6) ADJ 660]. ¶ 1

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Ashok Kumar v. State of U.P.</i> 2008 (6) ADJ 660 (DB)			1	Referred

SCJ-1606 · Shiv Shankar v. U.P. Power Corporation · Writ-C No. 20054 of 2017 · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.